IN THE HIGH COURT OF JUSTICE No. 415 of 2015

(Norwich CC 346 of 2014)

CHANCERY DIVISION

BANKCRUPTCY COURT

IN THE MATTER OF DIERK THOMAS BANKRUPTCY PETITION

DATED 4th DECEMBER 2014

CREDITOR'S Amended Skeleton Argument

Hearing on 6th July 2017

Bankruptcy Petition

1. The petitioning debtor Mr Thomas is a German citizen, born on 27th October 1963 in Wolfsburg, who works as a management consultant and head-hunter. Mr Thomas holds a business degree from the Ludwig-Maximilian University in Munich and early in his career held various senior executive positions in companies in Germany. Mr Thomas currently lives in Vienna, Austria, where he works for a headhunting firm. Mr Thomas' wife and two of his children live in Prien am Chiemsee, Germany where one of his children attends a fee-paying school. Two more children from a previous relationship live in Amsterdam in the custody of the Dutch state. Mr Thomas claims to have separated from his wife in the autumn of 2015.
2. On 4th December 2014 Mr Thomas petitioned for his own bankruptcy in the Norwich County Court on the grounds that he is unable to pay his debt. His statement of affairs disclosed assets of £4.3 million against unsecured creditors of about £4.2 million. There are no secured creditors.

Unsigned Bankruptcy Petition Dierk Thomas, 4th December 2014, Bundle 1, Page 42

3. In January 2017 Mr Thomas lodged an updated list of assets upon an order of Mr Justice Snowden. In his affidavit dated 12th January 2017 Mr Thomas presented a revised list of assets worth £6.66 million.

Affidavit Dierk Thomas, sworn 24th January 2017, Late Bundle

4. Mr Thomas discloses claims against the German V. Consulting Group (£1.3 million) and shares in the unlisted Canadian company V. Consulting Group Canada Inc (£3 million). In his most recent affidavit, Mr Thomas also lists claims against a Ruben Burgos Melendez (EUR 3.8 million), a former business partner, and against his Austrian landlord Hans Gfoeller (EUR 400,000) in relation to an investment in a mountain farm in Tyrol. Mr Thomas' last known tax income statement, submitted in April 2014 to the German tax authorities for the year 2011, discloses an income of EUR 1.6 million per anno.
5. Mr Thomas says his monthly living expenses of £6,600 a month are borne by his wife.
6. Mr Thomas' liabilities arise mainly from judgment debts, tax debts and criminal financial penalties, with the first of such judgments and tax liabilities going back as far as 2007. According to his statement of affairs of 4th December 2014 his largest creditors are the German tax authorities (£2.1 million), creditor Haederle (£1.8 million), and the German company V. Consulting Group Europe GmbH (£0.34 million) and the Federal Republic of Germany (£60k).
7. Since presenting the petition to the court, the Petitioner has paid off his debt with the Federal Republic of Germany.
8. Mr Thomas' bankruptcy petition is opposed by Mr Haederle and other creditors. Mr Haederle's position was set-out most recently in a judgement by Mr Justice Snowden [2016] EWHC 3585 (Ch) pp 16-17 and 23-27, which we quote here in parts for convenience:

   "17. In other materials that have been placed before me recently, there does seem to be clear evidence to support Mr. Haederle's assertion that Mr. Thomas is engaged in an exercise of seeking to evade the proper execution of orders of this court, and to conceal from Mr. Haederle and this court the extent of his assets which could and should otherwise be made available to satisfy the judgment against him. (...)

23. What Mr. Thomas appears to be suggesting there is that Mr. Haederle has acknowledged that Mr. Thomas had no assets left against which a freezing order could bite, or that Mr. Haederle was passing up the opportunity to obtain appropriate protection for himself by the making of a bankruptcy order against Mr. Thomas in the UK. It seems to me that neither of those two arguments is well founded.

24. Firstly in relation to assets, far from Mr. Thomas professing that he has no assets or Mr. Haederle accepting that proposition, Mr. Haederle has shown me today the petition which Mr. Thomas filed in this jurisdiction for his own bankruptcy. In that petition under the list of assets, Mr. Thomas indicated that he was owed a debt of about £1.33 million by a company called V. Consulting Group Europe GmbH in Munich and/or its directors. Mr. Thomas also listed investments in shares of approximate value £3 million comprising a 25% share in V. Consulting Group Canada Inc. from Ontario.

25. Mr. Haederle has also shown me a translation of an extract from a criminal trial against Mr. Thomas from August 2016, in which Mr. Thomas is reported as having said that he owned assets worth €5.5 million. It seems to me that, even on Mr. Thomas' own case, those are substantial assets which could and should be utilised to raise money to pay the judgment debt owing to Mr. Haederle.

26. I do not consider that Mr. Thomas' reference to the position in relation to the bankruptcy makes any difference to that conclusion or provides any appropriate protection for Mr. Haederle. The bankruptcy proceedings to which Mr. Thomas has referred are merely a petition that has been presented to the English court for Mr. Thomas' bankruptcy by Mr. Thomas himself. That petition is opposed by a number of Mr. Thomas' creditors, not because they do not think that Mr. Thomas owes them money, not because they think that they do not require protection from Mr. Thomas or his attempts to dispose of his assets, but because they contend that Mr. Thomas' centre of main interests (COMI) under the European Insolvency Regulation is not in England or Wales, but that it is in one of the other member states of the EU, either Germany or Austria. The creditors accuse Mr. Thomas of illegitimate "bankruptcy tourism" in an attempt to obtain an early release from his bankruptcy debts.

Bundle 4, Page 1073, Mr Justice Snowden, Freezing Injunction, 20th December 2016

The Issues

9. The opposing creditor Thomas Haederle opposes the making of the bankruptcy order on five grounds:

    - he contends that Mr Thomas' has not shown that he is unable to pay his debts, but must do so in light of his disclosed assets exceeding his disclosed liabilities by more than £2 million pounds – ("**the Ability to Pay Issue**")
    - he contends that this court has no jurisdiction to make a bankruptcy order against Mr Thomas, because Mr Thomas' centre of main interests was not in England and Wales on the date of presentation of the petition, on the date of service of the petition on the creditor and is still not in England and Wales on the date of the effective hearing of the petition – ("**the COMI Issue**");
    - he contends that the court should exercise its discretion not to make a bankruptcy order in circumstances in which Mr Thomas has given incomplete and/or false or misleading information in his statement of affairs and evidence – ("**the False Statement of Affairs Issue**");
    - he contends that the court should exercise its discretion not to make a bankruptcy order in circumstances in which Mr Thomas has not complied with the orders of this court in these proceedings and other proceedings in this court and that he remains to be in default of the court orders – ("**the Failure to Comply Issue**");
    - he contends that the court should exercise its discretion not to make a bankruptcy order in circumstances in which Mr Thomas has shown to have ulterior motives when applying for his own bankruptcy – ("**the Ulterior Motive Issue**");

The Ability to Pay Issue

10. Section 272 of the Insolvency Act of 1986 provides:

    > "(1) A debtor's petition may be presented to the court only on the grounds that the debtor is unable to pay his debts."

11. In cases where the petitioning debtor's assets exceed his liabilities, it is the debtor's responsibility to demonstrate if and why he is unable to pay his debts. We rely on

Paulin vs Paulin [2009] EWCA Civ 221 where Lord Justice Longmore where the judge concludes in 49:

*"(b) Mr Scott has persuaded me that, where the applicant for annulment of a bankruptcy order made on a debtor's petition establishes that there was no balance sheet insolvency, i.e. that his assets exceeded his liabilities, the evidential onus shifts to the debtor to establish commercial insolvency, i.e. that nevertheless he was unable to pay his debts. In my view common sense lies behind Mr Scott's proposition. For the existence of commercial insolvency in such circumstances calls for an explanation" (*Paulin vs Paulin [2009] EWCA Civ 221, pp49)

12. In his judgement the judge quotes Sir Roualeyn Cumming-Bruce from Newton v Newton [1990] 1 FLR 33, 44H- 45C:

    "At the end of the day [counsel for the wife] has satisfied me that there is a good answer to the liquidity problem. The glaring lacuna in the evidence in this case is evidence as to the bank's actual or probable reaction to an application by the husband for a further borrowing facility. There was no evidence from any finance house… Faced with the absence of any evidence as to the reaction of credit houses to a further credit advance, I take the view that the judge was justified in holding that it was reasonably practicable for the husband to find a way to pay the lump sum… by obtaining further credit."

13. Lord Justice Longmore continues in pp. 50 that when the debtor presents no evidence as to why he is unable to pay his debts, and if it can be shown, that the statement of affairs is dishonest, this must be fatal to the debtor's bankruptcy petition.

    "I am clear that a person made bankrupt on his own petition who is shown both to have made a substantially dishonest Statement of Affairs and on the date of presentation to have held assets which substantially exceeded his liabilities will find it hard to resist annulment on the basis that he was nevertheless unable to pay his debts."

14. The question if the debtor can pay his debts must not only take into account the debtor's cash assets on a certain date, but must be framed into a wider commercial definition, as set out in p.55 in Paulin:

"..was [the debtor] able to pay his debts in that, within a time-frame which his creditors would have tolerated, either the court would have varied the freezing order so as to allow him to realise his equity in the property and to apply part of its proceeds to payment of his debts or he could have obtained bridging finance for the purpose of paying them. If, as I have concluded, the evidential burden of proof and indeed also the burden of rebutting a presumption lay, in these respects, upon [the debtor]."

Paulin vs Paulin [2009] EWCA Civ 221, Creditor's Bundle of Authorities,

15. In our submission the evidential burden of proof to show that he is unable to pay his debts lies with Mr Thomas. In addition he must be able to rebut the reasonable presumption that he may obtain financing against his assets.
16. Mr Justice Snowden has already been satisfied that Mr Thomas' own case is and has been that he owns and controls assets of several million pounds. These assets exceed his liabilities by at least two million pounds. In the circumstances Mr Thomas must provide evidence what steps he has taken to liquidate those assets and why he has been unable to obtain any financing against these assets.

Mr Justice Snowden, Freezing Injunction, 20th December 2016, Bundle 4, Page 1073,

17. In other evidence it shows that Mr Thomas applied for legal aid shortly after he presented his bankruptcy petition and he applied for "travel grants" in order to be able to attend the hearings in Austria on 22nd January 2017. His justification as that he had to declare bankruptcy in England which showed that he had no possibility to pay for these proceedings. His application for legal aid was rejected, amongst other reasons, because he continued to litigate about a holiday home while claiming to be bankrupt and he also maintained an Austrian Legal Aid Insurance while claiming to have moved to England.

Dierk Thomas application for Legal Aid in Austria, 22nd January 2015, Bundle 2 page, page 474
Austrian court rejects legal aid application, Bundle 2 page, page 498

18. The evidence shows that in the past Mr Thomas has been able to obtain financing whenever he faced severe consequences upon non-payment and when it was in his interest to pay, such as

a. In response to a committal application: In 2007 he obtained substantial credit from V. Consulting Inc to pay his court fines and his lawyers in response to a finding of contempt and a committal application.

Witness Statement Dierk Thomas, 20th December 2007, Bundle 3, page 589

b. In response to a committal: In 2012 he obtained substantial sums to obtain the services of a defence lawyer attempting to get him out of prison in Germany.

c. In response to the threat of a 5 year prison sentence in Germany: In 2013 he obtained several hundred thousand Euros to make a payment to the German tax authorities in order to reduce a looming 5 year prison sentence to 2 years.

Judgment Mr Justice Eckert, 28th September 2013, Bundle 2, page 257

d. In response to a criminal fine: In 2014 and 2015 he found financing to repay his debt with the Federal Republic of Germany avoiding an automatic prison sentence upon non-payment.

Unsigned Bankruptcy Petition Dierk Thomas, 4th December 2014, Bundle 1, Page 41

19. The evidence shows that Mr Thomas has not made a single payment since the largest part of Mr Haederle's debt became due in 2007, more than 9 years ago, and despite him controlling millions of liquid assets.

20. The German tax authorities established that between 2007 and 2010 Mr Thomas income exceeded EUR 3 million. Mr Thomas' 2011 tax return shows taxable income in excess of EUR 1.6 million. Overall Mr Thomas had access to liquid assets in excess of EUR 4.6 million pounds and has not paid a penny towards his liabilities.

Judgment Mr Justice Eckert, 28th September 2013, Bundle 2, page 249
Tax Return, Dierk Thomas 4th April 2014, Bundle 4, page 848

In his bankruptcy petition Mr Thomas admits that the years following the judgments against him were a period of financial strength for him, although he fails to explain why he chose not to make any payments: *"perhaps it was my strength in the years 20008 and 2009, that made Mr Haederle not take any action against me."*

Unsigned Bankruptcy Petition Dierk Thomas, 4th December 2014, Bundle 1, Page 60

In his own submissions to the German Labour Court, made on 12th December 2014, a week after his bankruptcy petition, Mr Thomas admits that he received payments in excess of EUR 3 million and claims to be owed an additional 3.9 million from V. Consulting Group Europe.

Dierk Thomas Submissions to the German Labour Court, 12th December 2014, Bundle 2, page 529

Despite this substantial income, no creditor, including the German tax authorities, have been able to locate the remaining assets, but, as Mr Justice Snowden has pointed out, the evidence shows that

"Mr. Thomas is engaged in an exercise of seeking to evade the proper execution of orders of this court, and to conceal from Mr. Haederle and this court the extent of his assets which could and should otherwise be made available to satisfy the judgment against him."

Mr Justice Snowden, Freezing Injunction, 20th December 2016, Bundle 4, Page 1073

21. A recent confession of Mrs Thomas before the German criminal court on 20th December 2016, as well as the judgments of the German Labour Court, set out how Mr Thomas colluded with his wife and used his wife, in addition to his various companies, to hide assets from the creditors and the court. In the Labour court proceedings the judge found that Mr Thomas had pretended to employ his wife and paid her substantial sums as "Head of Administration" in one of his companies, despite her not ever working for this company. For her purported services Mrs Thomas obtained in excess of EUR 428,000, which she then invested into luxury assets, such as a motor boat, a pension fund, and paid into her own limited company as equity in 2011. Over the last years she then liquidated these assets, which she had illegitimately obtained through her husband, to finance the family's life without it being observable to an outside that these funds originated from her husband's professional activities, thereby hiding these assets from the creditors and the court.

Michaela Thomas, German Criminal Proceedings, Bundle 2, Page 509

Judgement Mrs Justice Hafensteiner, German Labour Court, 9th May 2014, Bundle 2, page 521

22. Mr Thomas' "statement of affairs" is another example of this conduct, when he claims that his living expenses of £6,600 per month are borne by his wife or that the bank transfers in his English bank account were made with money provided by his wife for specific purposes. Mr Thomas has claimed since 2007 that he was financially dependent on his wife.

Unsigned Bankruptcy Petition Dierk Thomas, 4th December 2014, Bundle 1, Page 46

Second Affidavit Dierk Thomas , High Court. 12th December 2007

23. The evidence substantiates the reasonable presumption that Mr Thomas has and had substantial assets which are available to satisfy the creditor's demands within a time-frame which his creditors would tolerate so as to allow him to liquidate his assets or obtain financing against these assets.
24. Since Mr Thomas has not discharged his responsibility to explain why he is unable to pay his debts, what steps he has undertaken since 2007! - when he first claimed to be insolvent - to liquidate his assets and pay his judgment, the court must rightfully conclude that Mr Thomas can pay his debts, but is and has been simply unwilling to do so – and over a long period of 10 years since his debts became due – a sufficient time to liquidate any asset.
25. The court must therefore reject the petitioning debtor's bankruptcy petition on the grounds that he is able, but unwilling, to pay his debts.

Second Affidavit Dierk Thomas , High Court. 12th December 2007
Witness Statement Dierk Thomas , High Court. 20th December 2007
Unsigned Bankruptcy Petition Dierk Thomas, 4th December 2014, Bundle 1, Page 41

The COMI Issue

26. Mr Haederle has set out his arguments in respect to the COMI issue extensively in his skeleton arguments lodged on 23rd January 2015 and 15th April 2015. We will repeat the arguments here in a shortened version for convenience.
27. The court's jurisdiction in bankruptcy proceedings is guided by the European Regulation, Council Regulation (EC) No 1346/2000 (3) OJ L 160/1 ("Regulation"). The regulation states, that forum shopping, commonly called "insolvency tourism", should be prohibited.

    "It is necessary for the proper functioning of the internal market to avoid incentives for the parties to transfer assets or judicial proceedings from one Member State to another, seeking to obtain a more favourable legal position (forum shopping). (Praeambel 4 13)"
28. According to the regulation the jurisdiction for insolvency proceedings is determined by the debtors COMI. The regulation leaves it to the courts, to determine how a COMI can be established. However, the regulation provides a number of definitions which are helpful. Among these are

"The 'centre of main interests' should correspond to the place where the debtor conducts the administration of his interests on a regular basis and is therefore ascertainable by third parties (Praeamble 13)"

29. The regulation differentiates between "professionals" and "consumers", but leaves it to the courts to define how each term should be defined. In case of a professional, the concept of "establishment" becomes relevant, where a

    'establishment' shall mean any place of operations where the debtor carries out a <u>*non-transitory economic activity*</u> *with human means and goods. (Article 2 h)*

30. Since its inception the regulation has been tested in court and defined more clearly. We refer the judge to the case **Sparkasse Hilden Ratingen Velbert v Horst Konrad Benk and the Official Receiver [2012] EWHC 2432 (Ch)** which clarifies and summarizes the principles of a COMI and has many similarities to the case at hand.

<u>Dierk Thomas as a "professional"</u>

31. If the court finds that Mr Thomas is a "professional" within the terms of the regulation, his bankruptcy is to take place at the place of his professional activity, and, if his debts arise from his professional activities, at the place where these professional activities took place.
32. There have been some attempts by the High Court to define "professional" and the court has tested if this is meant to refer to a member of a professional body ("such as a solicitor or barrister") to mean "a business man" in general. But the court has to our knowledge not reached a conclusion.
33. In our submission Dierk Thomas is a professional management consultant who has conducted his business in management consulting companies in Germany, Munich, which (sometimes fully, sometimes partially) owned and controlled. The root of almost all his debt relates to his conduct as director of the companies Vantage Point Consulting Group GmbH and V. Consulting Group Europe GmbH, both in Munich and hence his COMI – under the regulation – must be Munich, Germany. This is supported by the fact that his disclosed assets also appear to be claims against said companies in Munich.

34. Mr Thomas told the courts that he was not a "professional" at the time of his presentation of his petition due to the fact that he was temporarily unemployed at the time.

"As a precaution, in the event that the Petitioner or his representatives state that I pursue self-employed or commercial activities within the jurisdiction of the County Court of Kufstein, I reject this as follows: 1. I have not been able to take up work, or continue my previous self-employment, since I was released from almost 14 months investigative custody in Munich in November 2013 because of charges and subsequent conviction for four cases of tax evasion in Germany between 2007 and 2010. 2. My last self-employment, through which I earned the major part of my annual income, was from 2007 to 2011 and beyond in England;"

Dierk Thomas Witness Statement, 8th December 2014, Bundle 1, page 87

35. In other evidence however, Mr Thomas describes himself as a self-employed professional who is selling consulting services to clients world-wide, such as in a hearing before Registrar Briggs.

REGISTRAR BRIGGS: --when you moved to England----

MR. THOMAS: Yes, acquisition work that I did.

REGISTRAR BRIGGS: --you worked?

MR. THOMAS: Yes, absolutely.

MR. THOMAS: That was self-employed work; that was selling my own services to others and there was acquisition which does not easily lead to income, it does not put me into a position to be immediately----

Dierk Thomas before Registrar Briggs, transcript, page 10, Transcripts

36. We are not aware of any case law deciding if a professional, who is temporarily unemployed, shall be treated as a professional or a consumer under the regulation. We are in the hands of the court here.
37. Mr Thomas was a professional management consultant and head-hunter in Germany and Austria from 2002 to 2012. In 2013 he spent a year in prison. He then came to England at the end of 2014, where he was unemployed for a few months, although he claimed he had tried to find new clients and also claims that he had been on business trips outside England and Wales on several occasions. Mr Thomas then returned to Germany and Austria in the summer of 2015, where he again worked as a

management consultant and head-hunter, engaging in projects in the Middle East, before he became employed in Austria.

38. In our submission, a professional who is temporarily unemployed and whose financial difficulties root in his professional activities, remains a professional under the rules of the regulation, even if he temporarily does not work. Mr Thomas falls into this category and remained a professional during his temporary stay in England.
39. This view is supported by Mr Thomas' own submissions before Registrar Briggs in which he stated that in England he "continued the work he had done previously".

Dierk Thomas as a "consumer"

40. Should – in the court's judgment – Mr Thomas be treated as a consumer, his Centre of Main Interest must be determined upon the rules set out in the Benk judgment.

I. A true COMI must have a

   a. **stable link** with the forum
   b. **quality of presence**
   c. **degree of continuity**
   d. **degree of permanence**
   e. **idea of normality**

II. with regards to the residence in particular

   a. it must **not be hidden from the creditors** (must be able to find the address easily with a reasonable effort, or creditors must be notified)
   b. it must be **long-term, settled and permanent** (no short-term let)

III. while a debtor can change his COMI in the eve of insolvency, in this case the **court has to thoroughly investigate if the COMI is real and not an illusion**.

41. In order to frame the following discussion, we would like to refer the court to specific points made in the Benk judgment EWHC 2432:

   a. A person may be **habitually resident in one territory without having any presence** there, still less an establishment, at any given moment. (paragraph 29)
   b. A **temporary presence**, even for several months or years **does not represent a COMI**. The COMI must be real. There must be **a real, sustainable plan to live in the new domain long-term**. (paragraph 25n)
   c. **The whereabouts of the debtor at the specific time of submission of the petition does not justify a COMI**. One needs to determine where the debtor **normally and habitually** lives.

d. **Registration as a resident with a municipality** or de-registration by itself does not on its own justify a COMI, in particular if there is suspicion that de-registration is used as a strategic tool for forum shopping.[1] (paragraph 8)

e. **Electricity bills**, shopping lists, and the like do not by themselves justify a COMI if there is suspicion that they **can be used to create the illusion of a COMI**. (paragraph 21)

f. If the debtor moves in order to make a petition in the foreign court (or to avoid petitions) and **intends to return to the original country** afterwards, the **original country is the COMI**. (paragraph 25n)

g. The move to the new country must be **economically sustainable**. The court must check, how and by whom the presence is financed. If the presence in the new country is financed through temporary measures, e.g. by family loans or loans from connected companies, then the presence is not sustainable and does not justify a new COMI.

h. The **economic main interest** must be at the new location, such as employment, work and assets. If the main economic interest is real estate, companies and claims from legal proceedings, none of which are at the new location, so the new location is not COMI but the location of properties and proceedings. (paragraph 23)

i. One needs to check how the **move of the debtor** and his family was financed.

j. If the professional activities of the debtor are at the root of the insolvency, the **professional domicile takes precedence over the habitual precedence**. (paragraph 24)

<u>Date of COMI determination</u>

42. The court must determine on what date the debtor's COMI must be determined. Existing case law gives different answers, depending on the specific circumstances of each case. Possible dates are

- Date of the first presentation of the petition – 4th December 2014
- Date of the first service of the petition on creditors – 17th June 2015
- Date of the effective hearing of the petition – 6th July 2016

43. In the past when determining the COMI date, the court has taken into consideration if

- It is a debtor's petition or a creditor's petition for bankruptcy
- What where the circumstances before and after the presentation of the petition
- What was the cause for any delay

[1] De-Registration in Germany in July 2014, 2 weeks after the bailiff served documents on the German address, De-registration in Austria on 17 October – 2 weeks before the insolvency proceedings there were submitted

44. A number of previous judges found that the COMI must be determined at the date of the presentation of the petition, but almost all these cases relate to creditor petitions, not debtor petitions. In the standard case of O'Donnel c vs Bank of Irleand the debtor tried to move his COMI in the months between the presentation of the petition and the effective hearing of the petition. The court found that because the debtor could make auxiliary applications to delay the effective hearing and then relocate in order to frustrate the creditor's petition, the correct date in this case would be the date of the presentation of the creditor's petition.
45. In our submission, this reasoning does not apply here since it is a debtor's petition and not a creditor's petition and only the debtor can move the COMI after presentation, no the creditor. This must be taken into account.

O'Donnel vs Bank of Ireland

46. The second answer is the "date of the service on the creditors", where the reasoning is that in case of a debtor's petition the creditors a can only object to the petition once they know of it and hence this must be the date for COMI determination. This has been suggested by the court of appeals. Unfortunately we currently do not have the case number at hand.
47. The third answer is that it is clearly in the spirit of the regulation that the official receiver should operate in the jurisdiction where the debtor has his centre of main interest. The purpose of the rule is to make the administration easier and more effective for the creditors. Common sense dictates that here is no point to open the main proceedings in a jurisdiction to which the debtor has no relationship or link at all, forcing the receiver to open secondary proceedings in the true Centre of Main Interest, where the actual links are.
48. In this case the debtor has moved his official and real residences no less than 7 times and between 3 countries between 4 months before the presentation of his debtor's petition and the effective hearing of his petition.
49. Until July 2014 it was still Germany, until October 2014 Austria, then in December 2014 allegedly Flint Barn, Norfolk, England, when he presented his petition, then in June 2015 allegedly Primrose Barn, England, then in July 2015 Prien am Chiemsee, Germany, then in January 2016 Eastward Skies, England, then Prien am Chiemsee, then United Arabic Emirates, then two addresses in Vienna.

Michael Kamm Witness Statement, Bundle 1, page 680

50. In our submission, when a debtor has moved several times in the period between lodging his own bankruptcy petition and the hearing of his petition, the date for which the COMI is determined should be the place where the administration/receivership will take place and that must be the determined on the date of the hearing of the petition, not the date of the presentation of the petition.
51. In this case, the debtor works in Austria and his family lives in Germany and hence his COMI is either Austria or Germany depending on his determination as a "professional" or a "consumer" as set out above.
52. There is no known case where a debtor was registered with a main residence into countries simultaneously (Germany and Austria), then temporarily re-located to a new jurisdiction, filed for bankruptcy there, and then relocated back, first to Germany and then subsequently to Austria, before his petition could be heard by the court.
53. If the court finds that the date of determination is the date of the hearing of the petition, 6th July 2017, it must reject the debtor's petition, who has no relationship whatsoever to this jurisdiction at this point.
54. If the court finds it must be determined on either of the other two dates, we must continue our argument.

Determination of COMI

55. The COMI issue has been summarized by Mr Justice Henderson in his judgment of 7th July 2016:

    "Mr Haederle and Mr Thomas are both German nationals. Mr Haederle has for many years lived and worked in London. Mr Thomas has had business interests in many countries, and the extent, nature and duration of his links with England are in many respects unclear, In pending English bankruptcy proceedings, brought on his own petition, Mr Thomas claims that England has been his Centre of Main Interest (or "COMI") since at least 2007, and that since July 20 14 he has been a UK-resident, living at an address in Norfolk. These allegations are hotly disputed by Mr Haederle, who says that the bankruptcy proceedings are the latest in a long line of manoeuvres undertaken by Mr Thomas in several jurisdictions with the object of placing his assets beyond the reach of his creditors."

    Mr Justice Henderson, Judgment, 22nd July 2016, [2016] EWHC 1866 (Ch)

56. There has been a significant amount of time since the first presentation of the petition in 2014 and the effective hearing of the petition in 2017. One positive aspect of this

delay is that the court has the benefit of hindsight. The court is now able to see that Mr Thomas' purported relocation of his COMI to England was temporary and an illusion. The whole episode only lasted for a period of about 10 months at around the time of the presentation of his petition.

The court can easily determine if there has been

a. **stable link** with the forum
b. **quality of presence**
c. **degree of continuity**
d. **degree of permanence**
e. **idea of normality**

57. The debtor first appeared in this jurisdiction, coming from Germany and Austria at some point in the third quarter of 2014, filed for bankruptcy in the fourth quarter and returned to Germany and Austria in the second quarter of 2015.

Michael Kamm Witness Statement, Bundle 1, page 680
Wolfgang Sommerfeld Witness Statement, Bundle 1, page 680

58. In our submission we can therefore rely on Benk, paragraph 25n which states in essence that if the debtor moves in order to make a petition in the foreign court (or to avoid petitions) and intends to return to the original country afterwards, the original country is the COMI. (paragraph 25n)
59. We can also clearly submit that there has been no stable link with the forum, that there had been no degree of continuity and there was no degree of permanence.
60. High Court Enforcement Agents already established in 2015 that the debtor had left the jurisdiction in the summer of 2015 and his landlady confirmed that he had relocated to "Europe" without leaving a forwarding address.

High Court Enforcement Letter, 26th November 2015, Bundle 4, page 1009
High Court Enforcement Letter, 8th December 2015, Bundle 4, page 1010

61. The debtor is clearly aware that his move from the jurisdiction back to Germany 6 months after the presentation of his petition is very likely to be fatal to his application and has since continued to lie to this court about his true residence, giving the court a new address in Eastward Skies, Roughton.
62. This alleged residence was also debunked by High Court Enforcement and Mr Haederle's private investigator, who attended the property and confirmed that no one

knew of Mr Thomas there. It became clear that Mr Thomas was friends with a lady who does holiday lets for tourists and that she forwarded his post to him via email.

High Court Enforcement Letter, 9th February 2016, Bundle 4, page 1027
Mark Peachman Witness Statement, 14th December 2016, Bundle 1, page 234

63. As can be seen from the transcript before Registrar Briggs on the haring on 15th June 2016, Mr Thomas continued to claim that he was a resident in Roughton, Norfolk. He upheld that lie before Registrar Derrett as late as January 2017 and maintained that position until Creditor Haederle engaged a private detective in Austria who confirmed Mr Thomas' true residence and apartment in Vienna on 13th June 2017.
64. Only since then Mr Thomas admits that he is working and living in Vienna and that in fact he has no residence in England whatsoever, not even an address for service.

Dierk Thomas Email, 26th June 2017, Bundle 4, page 1098

65. Should the court determine, however, that the date for COMI determination is December 2014 and that Mr Thomas' subsequent return to Germany is irrelevant, we must make an argument about Mr Thomas' quality of presence here in England, compared to his quality of presence in Germany and Austria.
66. For this purpose we rely on Registrar Baister's judgment in Schrade vs Sparkasse Luedenscheidt, where the Registrar found that despite a temporary residence in England the debtor's COMI never changed due to litigation in Germany.
67. There is an equivalent case here. At the time of the presentation of the petition Mr Thomas

- Dierk and Michaela Thomas' main economic interests were **litigation in Germany in Austria**. These are in particular:
    - Dierk Thomas
        - Germany
            - claim against V. Consulting Group GmbH over EUR approx. 4.9 Mio unpaid fees and dividends in Germany
            - defence against V. Consulting Group GmbH's claim for repayment of EUR 428k for colluding with his wife
            - preventing German enforcement proceedings by German bailiff Wolfram Lotz for lack of jurisdiction
        - Austria
            - claim against Hans Gfoeller for several hundred thousand EUR in damages from a lease agreement in Austria

        - claim against Thomas Haederle (per proxy via father and brother) for the bailiffs "illegal confiscation" of assets
        - defence against Thomas Haederle's enforcement proceedings successfully initiated by bailiff Fankhauser
    - Michaela Thomas
        - Germany
            - Claim against V. Consulting Europe over approx. EUR 1.1 unpaid compensation
            - defence against V. Consulting Europe GmbH's claim for repayment of EUR 428k for colluding with her husband

Austrian Eviction Proceedings, Bundle 2, pages 435 – 501

German Labour Court Proceedings, Bundle 2, pages 510 - 535

Austrian Enforcement Proceedings, Bundle 2, pages 310 - 435

Austrian Bankruptcy Proceedings, Bundle 2, pages 295-310

- The couple has claimed in proceedings in Munich, Germany and Kufstein, Austria, that they are unable to attend the listed hearings in November and December 2014, because they are **unable to fund the travel from England to these hearings in Germany and Austria**.

Dierk Thomas Application for legal aid, Bundle 2, p. 489

- A number of decisions about Dierk and Michaela Thomas' lives were determined in the German and Austrian **criminal courts**
    - Austria
        - On 31st December 2014 Dierk Thomas was **indicted for fraud, forgery and contempt of court**. The prosecution is currently trying to serve the indictment to Dierk Thomas.
        - On 31st July 2015 he was convicted and sentenced to 2 ½ years in prison.
        - In March or April 2016 Mr Thomas was successful in a partial appeal of the July 2015 sentence and a subset of charges had to be retried.
        - On 4th August 2016 he was convicted again. This time to 1 ½ years in prison benefitting from new sentencing guidelines in 2016.
        - On 9th February 2017 his final appeal failed.
    - Germany
        - Dierk Thomas is still on parole until mid-2016 following his release from prison in Germany in November 2013.
        - Further criminal allegations of fraud have been brought against Dierk and Michaela Thomas in the wake of the employment

proceedings in Munich, where the court found that the couple had colluded to defraud the V. Consulting Europe Company.

- In all cases **Dierk Thomas is represented by lawyers in Germany and Austria**. In England he has no such representation.

German Criminal Proceedings Dierk Thomas and Probation, Bundle 2, pages 238-260

Austrian Criminal Proceedings, Bundle 2, pages 261-295

German Criminal Proceedings Michaela Thomas, Bundle 2, pages 509

68. Numerous other aspects show that there was no quality of presence here in England when compared to their presence and the administration of his affairs in Germany and Austria. These include:

- The Metropolitan Police has established that **Dierk Thomas never paid tax in England or made National Insurance Contributions** in England. The HMRC also said they are no longer involved with Mr Thomas.

Metropolitan Police Emails, Bundle 3, pages 860

HMRC Letter, Bundle 4, pages 1049

- Dierk Thomas had **not given up his accommodation in Soell as he claimed in his evidence**. He still paid the utilities, maintained the building, he stores his property there, and he has not returned the keys to the landlord. He **visited Soell on a regular basis** as neighbours and landlord confirm.

Witness Statement Dierk Thomas, 20th July 2016, Bundle 1, page

Porsche Cayenne at Nobahof, 9th April 2015, page 856

Austrian Eviction Proceedings, Lease Nobahof Dierk Thomas, Bundle 2, pages 445

Austrian Eviction Proceedings, Eviction Dierk Thomas, Bundle 2, pages 501

Hans Gfoeller Witness Statement, 2nd June 2015, 183

- Dierk Thomas' wife admits in an affidavit sworn shortly before the presentation of the petition before the High Court, that her husband **neither has nor ever had any assets in England and Wales**.

Michaela Thomas Affidavit, 12th June 2014, Late Bundle

- **All known assets of the couple are in Germany and Austria**. These are the claims to the Austrian farm house in Soell, a 25% ownership in a house in Prien am Chiemsee, Germany, a 25% ownership in the V. Consulting Europe GmbH and a 100% ownership in the Thomas Vermoegensverwaltungs- und beratungs GmbH.

- Dierk and Michaela Thomas both recently gave evidence in German courts that they are **unemployed, without income or work,** in England or anywhere else. In Germany and Austria they have also applied for "Prozesskostenhilfe", a **German government benefit** to help litigants to fund their litigations.

Dierk Thomas application for Legal Aid, Bundle 2, pages 498

- Michaela Thomas states in her affidavit of June 2014 that Dierk Thomas **neither has nor had a UK bank account**. All major UK banks, HSBC, Lloyds, Barclays, RBS, Santander, have confirmed they do not know of bank accounts of neither Michaela and Dierk Thomas, nor their companies.

Michaela Thomas Affidavit, sworn on 12th June 2014, Bundle 3, page 680

- Since then a bank account with nationwide has been identified which appenetly was opened by Dierk Thomas shortly before the presentation of his petition and from which he executed a few token transactions in an attempt to create the illusion of a COMI. The bank account closed shortly afterwards.

Nationwide Bank Letter Accounts Dierk and Michaela Thomas, Bundle 4, pages 1044

- Dierk Thomas claims to have a **38-year lease on the Austrian farm house**, where the family had their registered main residence until 17 October 2014. Mrs Thomas claims in her affidavit that they run the farm as a **commercial farm enterprise**.

Michaela Thomas Affidavit, sworn on 12th June 2014, Bundle 3, page 680

Austrian Criminal Proceedings, Indictment Dierk Thomas , Bundle 2, pages 26

- The couple has **no family in England, but all close family lives in and around Munich**. Dierk Thomas has lived for most of his life in Munich and Michaela Thomas has mainly lived in Prien and in Munich. The family stored most of their assets in a barn in Prien during their months in England.

Michael Kamm Witness Statement, Bundle 1, page 680

Wolfgang Sommerfeld Witness Statement, Bundle 1, page 680

- The family claims to have lived in Michaela Thomas mother's house where Michaela Thomas owns a share, presumably rent free. They have also lived in Austria, where they claim to be able to live rent-free for 38 years. Despite allegedly being destitute, they took it upon themselves to **live rent-free accommodation and move to England at great cost to rent an expensive property** in Roughton.

Michael Kamm Witness Statement, Bundle 1, page 680

Wolfgang Sommerfeld Witness Statement, Bundle 1, page 680

- The family's car, a Porsche Cayenne, is a **left-hand-drive with German registration plates**. The DVLA requires foreign cars to get a UK number plate

latest 3 months after becoming a UK resident. Mr and Mrs Thomas have been using the car for 7 month in the UK with German number plate.

Picture of German Porsche in Roughton, Bundle 3, page 831

- Dierk Thomas is **not on the electoral register of Norwich**, according to our information. He has de-registered his residency in Germany on 22 July 2014 and de-registered his residency on 17 October 2014 in Austria, but not registered in the UK.

High Court Enforcement, Letter, 22nd February 2016, Late Bundle

- In the Kufstein District Court Dierk Thomas stated his **motivation for moving to England was to "settle with his creditors"**. It remains unclear why one needs to move to a country to settle with a creditor, in particular when enforcement proceedings are going on at the debtors then current place of residence. Besides, no offers for settlement have been received. Also more creditors are in Germany and Austria.

- In Kufstein District Court Dierk Thomas claimed to have **better job prospects as a consultant in England than in Germany**. He currently resides in Roughton, in a village with 900 people, a **3.5 hours drive from London and Vodafone**, where presumably there is be a demand for his consulting skills. A "international business consultant" who charges daily rates above £1800 would find it very difficult to find employment in Roughton.
- **Registered office of Michaela Thomas' company is in Munich, Germany**.

Thomas Vermoegensverwaltungs und Beratungs GmbH, Company Register Germany, 9th December 2014, Bundle 3, page 754

Thomas Vermoegensverwaltungs und Beratungs GmbH, year End accounts 2014, Bundle 3, page 827

- **Michaela Thomas continues to act as company director from Munich throughout 2014/2015**

Thomas Vermoegensverwaltungs und Beratungs GmbH, Letter to court, 8th July 2015, Bundle 3, page 829

Thomas Vermoegensverwaltungs und Beratungs GmbH, Letter to court, 8th July 2015, Bundle 4page 958

- Dierk Thomas was **hiding his move to England and his new address** for several months and did not leave a forwarding address with the municipalities in Germany and Austria when he de-registered his residency. This made it very difficult for his

creditors to find him. It took a private investigator to find the correct address. The regulation requires that the new residency is not hidden from the creditors.

- **Michaela Thomas' is not in employment in England**. Her only employment in the last 10 years was in the companies of her husband and the German Employment court has found that there never was a real employment and that the employment contracts were fraudulent.
- Allegedly the family lives of Mrs Thomas' income. But since the court found that **Michaela Thomas' income from 2007 – 2011 was illegally and fraudulently obtained** in collusion with her husband, who acted in breach of his fiduciary duty and unfairly prejudicial to the other shareholders of the company. She and Dierk Thomas have since been ordered to pay back EUR 428k.

German Labour Court Proceedings, Bundle 2, pages 510 - 535

German Criminal Proceedings Michaela Thomas, Bundle 2, pages 509

- **On three separate occasions our agents tried to ascertain Dierk Thomas at the Roughton residence and were not successful locating him there**. They did manage to speak to his wife, but not the debtor.

Chronology, Bundle 1,

Witness Statement Thomas Haederle,

- The enforcement agents eventually managed to attend and enter the Flint barn property in June 2015. The only assets they could find which appeared to belong to the debtor were a TV and a sofa. Everything else in the house was part of the furnished house and belonged to the landlord. In addition they found seized a motorbike, which had already been seized in Austria by a bailiff and which Mr Thomas illegally removed from Austria. In response to the High Court Enforcement officer seizing the motorbike, Mr Thomas' brother reported Mr Haederle to the police for "theft"., claiming it was his motorbike, not the debtors.

Steffen Thomas, Report to the police, 23rd June 2015, Bundle 4, page 928

- At the **root of Dierk Thomas insolvency are his activities of his two German companies**, Vantage Point Consulting Group GmbH (insolvent and struck off 2008) and V. Point Consulting Group GmbH (still trading) where he was shareholder and director. These activities led to
    - Haederle's judgment for (now) GBP 1.6m for breach of trust
    - the German states judgment for approx. GBP 2.5m for tax evasion
    - V. Consulting Group Europe GmbH's judgment for GBP approx. 350k for breach of trust

German Criminal Proceedings Dierk Thomas and Probation, Bundle 2, pages 238-260

German Labour Court Proceedings, Bundle 2, pages 510 - 535

His professional domicile in Germany should therefore take precedence over his current residency in Roughton.

The False Statement of Affairs Issue

69. In "Die Sparkasse Bremen AG v Armutcu [2012] EWHC 4026 (Ch); [2013] BPIR 210" Mrs Justice Proudman has shown that false statements and a failure to give full and frank disclosure in a bankruptcy petition is fatal to this petition due to the nature of this application.
70. Mr Thomas' petition fails on numerous aspects a test of full and frank disclosure. Mr Thomas' hides the true source of his living expenses, he freely invents assets which do not exist, and leaves out debts which he has.
71. This will be demonstrated during the hearing and in cross-examination.

The Failure to Comply Issue

72. There have been numerous failures to comply with the orders of the Bankruptcy Court as well as orders of the High Court in general and most judges have recorded serious criticisms of Mr Thomas' in that respect.
73. The petitioning debtor, Mr Thomas, is no stranger to this court, having been involved in litigation in the High Court since 2005.Mr Thomas' conduct has been cause for great concern for the court throughout and numerous judges have aimed sharp criticisms at Mr Thomas.
74. In May 2007 Mr Thomas was sanctioned and debarred by Registrar Rawson for a failure to disclose documents for trial. In October 2007 Mr Justice Blackburne fined Mr Thomas £10,000 and debarred him for a failure to comply with the information provision of a freezing order. In December 2007 Mr Justice Warren upheld the debarring order in light Mr Thomas' failure to purge his contempt. Mr Justice Warren imposed strict conditions on Mr Thomas being allowed back into the proceedings:

    "My view is that, in light of the conduct in this case by Mr Thomas, justice demands payment of the whole amount as a condition for proceeding (...) This might be seen as stifling access to the court and have Article 6 implications. I do not consider Article 6 is a problem. He's had every opportunity and should not be allowed to put Thomas Haederle to added cost without meeting what he is clearly bound to pay. This case is

not like stifling an appeal where a litigant is entitled to a ruling on a genuine appeal because the lower court may be wrong. This is a case where Dierk Thomas' problems stem from his own failures. He should be entitled to the indulgence of the court only if he actually provides Thomas Haederle with what he has spent to get to where he is."

Judgment Mr Justice Warren, 21st December 2007

75. Mr Thomas did not comply with the conditions imposed by Mr Justice Warren and subsequently disappeared from view for a number of years.
76. In May and June 2014 when Mr Haederle sought and obtained additional freezing injunctions against Mr Thomas' wife and two of Mr Thomas' companies in Germany. The freezing orders were granted by Mrs Justice Proudman and Mr Justice Morgan.

"It does seem to me that this is an appropriate case to extend the injunction that is already made on the basis that Mr. Thomas plainly is shifting his assets about in order to try and evade the injunction that has already been granted. (...) The risk of dissipation is simply obvious from the facts."

Mrs Justice Proudman on 23rd May 2014: [2014] EWHC 4092 (CH)

"Over subsequent months and years Mr. Haederle has taken steps to obtain the benefit of the court order. He has established that the sum due from Mr. Thomas to him is £880,000 or thereabouts. He has established that Mr. Thomas owes him very substantial sums in relation to costs. One costs order, in particular, is for £164,000. Mr Thomas has not paid a penny towards those determined liabilities."

Mr Justice Morgan on 13th June 2014: [2014] EWHC 4898 (Ch)

77. Mr Thomas returned to the jurisdiction for a short period in 2014 and 2015 where he was became subject of enforcement proceedings.
78. Mr Thomas conduct continued in an equally unsatisfactory manner throughout the proceedings 4763 of 2005, also in the High Court:

"It appears that Mr. Thomas then did nothing to comply with those directions, nor did he take up the offer made by the court to obtain Legal Aid, even though

he would have been entitled to it without any means test because of the quasicriminal nature of civil contempt proceedings. Instead, the matter came before me on 21st January of this year, when, at the very last minute, emails were received from Mr.

Thomas and his wife seeking to explain their absence and making various complaints about the current form of the application (...)

[Mr Haederle] relies on evidence which appears to show that the address which the respondent gave in his email to the court on 21st January is not an address at which he either now lives or has lived in the past. It appears to be a holiday address in East Anglia and, in that respect, to be like an earlier address where he never seems to have lived, although he may have been briefly present there on one or two occasions."

Mr Justice Henderson, Judgment 9th March 2016 [2016] EWHC 641 (CH)

"The application comes at an exceedingly late stage. An order was first made by Asplin J. in July of last year, giving him a very generous period of time, until November 2015, to put in written evidence if he were minded to do so. He failed to take advantage of that opportunity and the matter was again raised before me, again in his absence, in January of this year when I granted him another fairly generous period of time, making it plain that the court found itself in a very unsatisfactory position, given the failure, until then, of Mr. Thomas to engage with the proceedings in any meaningful way. That has continued since then in an equally unsatisfactory manner, save for the fact that Mr. Thomas has eventually managed to obtain legal representation and now has solicitors and counsel acting for him. From the point of view of the court, that is a great improvement and a development which I welcome. It is in that context, I think, that I need to consider whether a final and really undeserved indulgence should be granted to Mr. Thomas to give him a short, final opportunity to put in affidavit evidence if he wishes to do so, with the benefit of the legal advice and representation which he now has."

Mr Justice Henderson, Judgment 19th April 2016 [2016] EWHC 1714 (CH)

"In short, I believe that Mr. Thomas has deliberately taken steps to make himself unavailable for this hearing and has attempted in that regard to capitalise on what he has chosen to regard as an error by my clerk. In those circumstances, I intend to proceed with the hearing today. "

Mr Justice Snowden, Judgment 20th December 2016 [2016] EWHC 1866 (Ch)

Prior to the hearing, Mr. Thomas had wrongly suggested that he was unable to attend the hearing, or to participate in the hearing by conference call, notwithstanding the

strenuous efforts that had been made by the court to facilitate his attendance or participation. In light of that correspondence and the earlier judgments describing how "Mr. Thomas has made himself as elusive as possible" (see para 6 of Mr. Justice Henderson's judgment of 8 March 2016) I was concerned that Mr. Thomas might also seek to claim that he had not received the Order made on 21 December 2016 unless particular steps were taken to ensure that it was brought to his attention.

In his communications with the court regarding the hearing, Mr. Thomas asserted that he was at undisclosed locations on a business trip on the continent of Europe and had declined to give his telephone number for the purposes of attending by conference call. A number of documents sent to the court had given Mr. Thomas's address in the UK as Hill House Farm, Eastward Skies, Roughton, Norwich, NRll 8ND. It was clear, however, that this was not his own property, nor was a place at which he permanently resided. There was also evidence that he was in fact living abroad with his family. In these circumstances, I considered that there was good reason to authorise service by alternative means so as to ensure that the FreezingOtder came to Mr. Thomas' attention."

Mr Justice Snowden, Judgment 6th February 2017

79. In these bankruptcy proceedings the same problems arose throughout of non-cooperation, elusiveness and non-compliance with any directions or orders.

80. On 17th December 2014 Mr Thomas was ordered to serve COMI evidence on Mr Haederle but failed to do so. On 27th April 2015 Mr Thomas was ordered to disclose and serve documents on Mr Haederle, but failed to comply. On 26th June 2015 he was ordered to pay cost to Thomas Haederle by Registrar Briggs, but failed to comply. On 29th June 2015 he was ordered to pay another cost by Registrar Barber, but failed to comply. On 10th July 2015 Mr Thomas was ordered by Mrs Justice Asplin to serve evidence by November 2015, but he failed to comply. Mr Thomas was then ordered to prepare a bundle and arguments for the hearing of his petition on 15th June 2016 but failed to prepare anything. He was then ordered to lodge and serve evidence of his witnesses by July 2016, but did not comply properly and only provided some witness statements in January 2017, leaving the creditors without an opportunity to respond to this evidence. Eventually he was asked to seek advice of the Citizens Advice Bureau, after he claimed to not comply because he did not know the procedure, but did not and continued to not prepare his own petition in any way.

Eventually the court ordered on 24th January 2017 that the creditor Haederle should prepare Mr Thomas' petition.

81. Mr Thomas then failed to give an address for service in the jurisdiction of the bundles Mr Haederle had prepared, continuing a game of cat and mouse with the court about his true whereabouts, which he began with Mr Justice Snowden and his clerk in December 2016 and continued in 2017 as set out in Mr Justice Snowden's judgment of 6th February 2017.
82. In light of these numerous failures, in our submission, the court should use its discretionary powers and not make a bankruptcy order upon this petition.
83. The debtor would then need to make another application, fully compliant, and demonstrate to the court that his COMI is still in England & Wales, which he will be unable to do.

The Ulterior Motive Issue

84. The evidence shows how the debtor used these – in his view – pentring bankruptcy proceedings – to influence and halt and delay his numerous proceedings – criminal and civil – in Germany and Austria.
85. In our submission this was the real intention of Mr Thomas' bankruptcy petition, in addition which is aim to achieve early debt release through bankruptcy tourism.
86. Since Mr Thomas had other ulterior motives when filing his bankruptcy petition, his petition should be dismissed.

Re Maud, Maud v Aabar Block Sarl and another **[2016] EWHC 2175 (Ch), [2016] All ER (D) 51 (Sep)**